TEACHER GUIDE

High school business

# Loans and financing



A review lesson. Students run a car dealership in firms of four and review loans and financing on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

45-minute setting

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

# What students do

Every student buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal inventory

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Total to pay back

Round 1

Same interest every year.

**Total to pay back?**

| | |
|---|---|
| Loan | **$50,000** |
| Interest, each year | **3%** |
| Repaid over | **4 years** |

**ANSWER**

**$56,000**

$50,000 + 4 × $1,500 = $56,000

**Why:** The loan costs $6,000 in interest.

## 2 Short-term sources

Round 1

You need $8,000 for three weeks to cover a gap.

**Which two sources fit best?**

- **A** Trade credit from a supplier
- **B** Selling shares
- **C** A bank line of credit
- **D** A mortgage
- **E** A five-year bank loan

**ANSWER**

**✓ Trade credit from a supplier**
**✓ A bank line of credit**

**Why:** Short-term needs suit short-term finance.

## 3 Rank total interest

Round 2

Three ways to borrow $10,000, simple interest.

**Order by total interest, cheapest first?**

- **A** Line of credit: 15% a year, 6 months
- **B** Card: 24% a year for 3 months
- **C** Loan: 8% a year for 2 years

**ANSWER**

1. **Card: 24% a year for 3 months**
2. **Line of credit: 15% a year, 6 months**
3. **Loan: 8% a year for 2 years**

**Why:** Interest: $600, $750, $1,600.

# Topic tasks

## 4 Loan or credit line

Round 2

Loan or line of credit?

**Line of credit cost minus loan cost?**

| | |
|---|---|
| Money needed | **$20,000** |
| Loan interest, for the year | **4%** |
| Line of credit cost, a month | **$200** |
| You need it for | **7 months** |

**ANSWER**

**$600**

**7 × $200 − $800 = $600**

**Why:** The line of credit costs $600 more here.

## 5 Loan or own profit

Round 3

You want a $30,000 service lift. You have $40,000 of profit kept in the firm, not needed elsewhere.

**How should you pay, and why?**

**A** Use the profit kept in the firm

**B** Take a loan at 9%

**ANSWER**

**✔ Use the profit kept in the firm**

**Why:** Retained profit costs no interest and need not be repaid.

## 6 Cheaper loan cost

Round 3

Borrow $25,000.

**Interest plus fee on the cheaper loan?**

| | |
|---|---|
| Bank interest, each year | **7%** |
| Bank fee, one-time | **$400** |
| Credit union, interest a year | **9%** |
| Repaid over | **4 years** |

**ANSWER**

**$7,400**

**Bank $7,400; credit union $9,000; cheaper $7,400**

**Why:** The bank is cheaper, even with the fee counted.

# Final questions

Each student answers 6 final questions. They come from these 10 questions on loans and investments.

1. The Growth Facility gives you $50,000, and you repay $55,000. What is the interest as a % of the loan?
   ✔ **10%**

2. The Inventory Facility gives you $25,000, repaid as $27,500 in 2 equal installments. What is each installment?
   ✔ **$13,750**

3. A Quick Loan of $10,000 (repay $11,000) buys a Small van for $8,000, which you sell to a customer for $10,000. What did the deal add after repaying the loan?
   ✔ **$1,000**

4. How do loans enter the net position?
   ✔ **What is still to repay is subtracted**

5. A property costs $40,000 and returns about 5% a round. About how much return can you expect in one round?
   ✔ **$2,000**

6. You bought a property for $40,000. It paid you $2,000 return, then you sold it at 95% of what you paid. What is the overall gain or loss?
   ✔ **$0: the return just covers the selling loss**

7. Your firm has $20,000 cash and $3,500 of sales tax due at the end of this round. Should you put $18,000 into a fund now?
   ✔ **No: it leaves only $2,000 to pay a $3,500 return, so the return would be late**

8. What does "Repay now" cost on a loan you have drawn?
   ✔ **The rest of the agreed installments: no discount and no penalty**

9. A Quick Loan gives $10,000 and is repaid as $11,000. How much is the interest?
   ✔ **$1,000**

10. You take the Growth Facility ($50,000, repay $55,000) and use it for 5 cars that each make $1,500 gross profit. Does it pay?
    ✔ **Yes: $7,500 profit less $5,000 interest leaves $2,500**